THE PLAN, IN FOUR NUMBERS

The Simple Version

BALANCE	RISK PER TRADE	TRADES PER WEEK	REWARD
$2,000,000	1% = $20,000	5 - one each	1:3 to 1:5

HOW TO READ EVERY NUMBER IN THIS DOCUMENT

1R = $20,000. That is what you lose if a stop is hit, and it is the same on all five assets. A 1:3 winner pays 3R = $60,000. A 1:5 winner pays 5R = $100,000. Gold, oil, silver, bitcoin and the Dow - one trade each, once a week.

Week A - two stopped out, three winners

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stopped out	-1R	-$20,000
WTIUSD	Stopped out	-1R	-$20,000
XAGUSD	Target hit 1:3	+3R	+$60,000
BTCUSD	Target hit 1:3	+3R	+$60,000
DJIUSD	Target hit 1:5	+5R	+$100,000
TOTAL	**5 trades**	**+9R**	**+$180,000**

WEEK A PROFIT

+$180,000

+9R on the week, or +9% of the balance. Two losses cost $40,000 between them; the three winners brought back $220,000.

IF THE THIRD WINNER ALSO RUNS TO 1:5

Two of the three winners were named as 1:3 and 1:5, so the third is taken as a 1:3 here. If it reaches 1:5 instead, the week is **+11R = +$220,000** rather than +9R.

SCENARIO TWO

Week B - stops moved to entry

Same five trades, same $20,000 of risk on each. This time every position is moved to break-even once it goes your way, so four trades scratch out at entry for nothing instead of losing, and one runs all the way to 1:5.

ASSET	RESULT	R MULTIPLE	PROFIT / LOSS
XAUUSD	Stop moved to entry - scratched	**+0R**	**$0**
WTIUSD	Stop moved to entry - scratched	**+0R**	**$0**
XAGUSD	Stop moved to entry - scratched	**+0R**	**$0**
BTCUSD	Stop moved to entry - scratched	**+0R**	**$0**
DJIUSD	Target hit 1:5	**+5R**	**+$100,000**
TOTAL	**5 trades**	**+5R**	**+$100,000**

WEEK B PROFIT

+$100,000

+5R on the week, or +5% of the balance - from a single winning trade out of five.

What moving the stop to entry is worth

MANAGEMENT	OUTCOME	R	RESULT
Stops left where they were	4 losses and 1 winner at 1:5	**+1R**	**+$20,000**
Stops moved to entry	4 scratches and 1 winner at 1:5	**+5R**	**+$100,000**
Difference	**Same trades, same entries**	**+4R**	**+$80,000**

THE POINT OF WEEK B

Nothing about the trades changed - same entries, same stops, same targets. Only the management changed, and the week went from $20,000 to $100,000. The cost is that a trade which dips back to entry before running is now closed for nothing instead of eventually winning, so a real week lands somewhere between the two rows.

FOUR WEEKS

The Monthly Total

SCENARIO	PER WEEK	PER WEEK ($)	PER MONTH	MONTH, FIXED SIZE	MONTH, COMPOUNDED
Week A repeated	+9R	+$180,000	+36R	**+$720,000**	**+$823,163**
Week B repeated	+5R	+$100,000	+20R	**+$400,000**	**+$431,013**

Fixed size keeps 1R at $20,000 all month. **Compounded** recalculates 1% from the new balance each week, so the winners get bigger as the account grows. Four trading weeks to a month.

WEEK A - ONE MONTH

+$720,000

Fixed sizing. Compounded weekly it is **+$823,163**, taking the balance to $2,823,163.

WEEK B - ONE MONTH

+$400,000

Fixed sizing. Compounded weekly it is **+$431,013**, taking the balance to $2,431,013.

EVERY TRADE

$20,000

Risk $20,000. Aim for $60,000 to $100,000. Take five a week, one on each asset. Move the stop to entry once it is going your way. That is the entire system.

EVERY OUTCOME, NOT JUST THE GOOD ONES

Every Possible Week

Five trades means six possible weeks - nothing wins, through to everything wins. Here is all of them, under three ways of running the same trades.

WINNERS	LOSERS	ALL WINNERS AT 1:3	ALL WINNERS AT 1:5	1:3, STOPS MOVED TO ENTRY
0	5	**-5R** -$100,000	**-5R** -$100,000	**+0R** $0
1	4	**-1R** -$20,000	**+1R** +$20,000	**+3R** +$60,000
2	3	**+3R** +$60,000	**+7R** +$140,000	**+6R** +$120,000
3	2	**+7R** +$140,000	**+13R** +$260,000	**+9R** +$180,000
4	1	**+11R** +$220,000	**+19R** +$380,000	**+12R** +$240,000
5	0	**+15R** +$300,000	**+25R** +$500,000	**+15R** +$300,000

WHERE EACH COLUMN TURNS GREEN

At **1:3 with full stops** you need **2 winners out of 5** to make money. At **1:5** you need **1**. With **stops moved to entry** the worst week is flat rather than $100,000 - you cannot lose a week, only fail to make one. That last column is the whole argument for moving the stop, and it is why Week B matters more than Week A.

The average week

The table above is what *can* happen. This is what it averages to over many weeks, for a given win rate - the number that actually determines whether the account grows.

WIN RATE	WINNERS A WEEK	AVERAGE WEEK AT 1:3	AVERAGE WEEK AT 1:5
20%	1.0 of 5	**-1.0R** -$20,000	**+1.0R** +$20,000
30%	1.5 of 5	**+1.0R** +$20,000	**+4.0R** +$80,000
40%	2.0 of 5	**+3.0R** +$60,000	**+7.0R** +$140,000
50%	2.5 of 5	**+5.0R** +$100,000	**+10.0R** +$200,000
60%	3.0 of 5	**+7.0R** +$140,000	**+13.0R** +$260,000

A 1:3 plan breaks even at a 25% win rate and a 1:5 plan at 16.7%, which is why the ratio matters more than being right. Costs - spread, commission, financing - are not in these numbers and take roughly 0.05R to 0.15R off every trade.

WHAT A YEAR ACTUALLY LOOKS LIKE

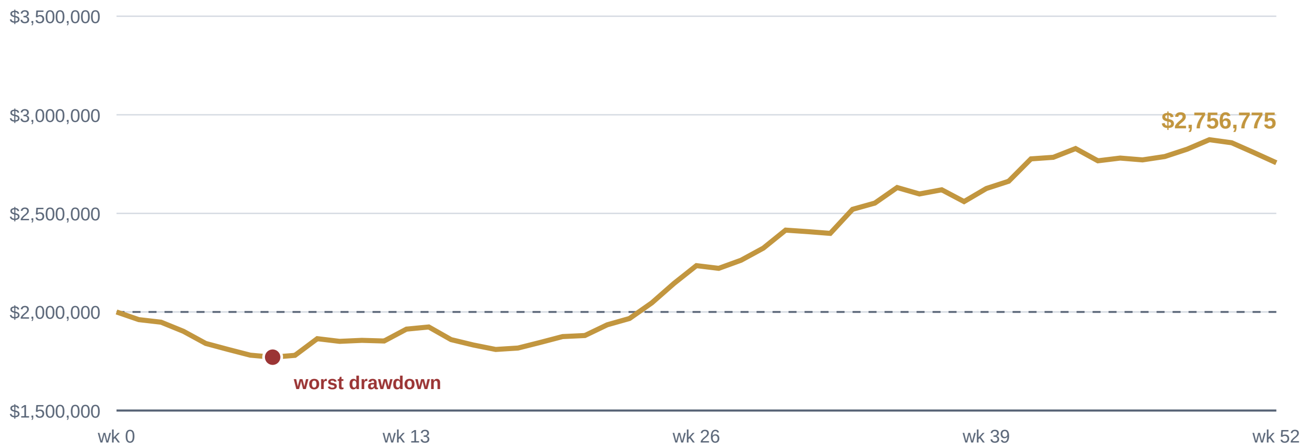
The Realistic Case

Repeating Week A for a year would multiply the account **88 times**. That is not a plan, it is what happens when you assume fifty-two perfect weeks in a row. A real year is about **180 trades**, and the only number that decides where it ends is the average R those trades return.

AVERAGE PER TRADE		PER WEEK	OVER 12 MONTHS	ENDING BALANCE
-0.05R	Below break-even	-0.18%	**-9%**	**$1,825,890**
+0.10R	Modest edge	+0.35%	**+20%**	**$2,398,466**
+0.25R	Good edge	+0.88%	**+57%**	**$3,146,114**
+0.45R	Exceptional edge	+1.57%	**+125%**	**$4,507,598**

Assumes 3.5 trades a week. The difference between losing money and doubling it is a third of one R.

One plausible year, week by week



A simulated year at roughly +0.3R a trade - a good edge, not a spectacular one. It ends at **$2,756,775**, **+38%**, having spent the first quarter below where it started and given back **11%** at its worst point. That shape, not a smooth curve, is what a winning year looks like.

THE PART NOBODY PUTS ON A CHART

The first thirteen weeks of that simulation lose money. Most people change something at that point - size up to catch up, widen a stop, take a 1:2 because nothing better is there - and the edge that would have paid over the remaining thirty-nine weeks stops existing. The method is not the hard part.

IMPORTANT

This document is an educational illustration of a risk and position-sizing method. It is **not financial, investment or trading advice** and contains no recommendation to buy or sell any instrument. **Every figure in it is hypothetical.** None of it represents actual trades, actual results, or a projection of future performance - the returns shown are what the arithmetic produces if an assumed sequence of outcomes occurs, and no such sequence is predicted or promised. Leveraged trading carries a high risk of rapid loss and on some accounts losses can exceed the amount deposited. Costs are excluded throughout and reduce every result shown. No method guarantees a profit, and losing weeks and months are a normal part of this one. Past performance does not indicate future results. Seek independent advice if you are unsure.